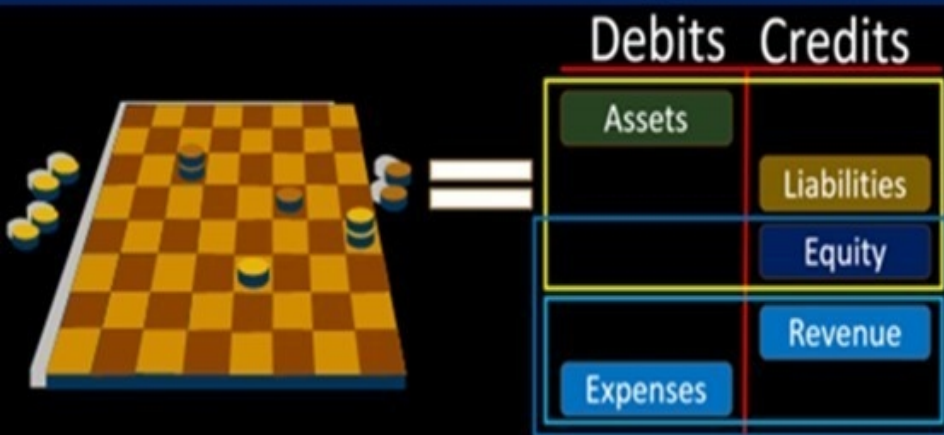


# ACCOUNTING INSTRUCTION



Reference **#100**

Learn Accounting Objectives, The  
Double Entry Accounting System,  
&  
The Accounting Equation

**Accounting**

Instruction, Help, & How To





BOB STEELE CPA

# Accounting Instruction Reference #100

*Learn Accounting Objectives, The Double Entry  
Accounting System, & The Accounting Equation*

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I

Part One





# 1

## What is Accounting and Why Learn Accounting

The first questions asked when introduced to any new topic are often:

- What is it?
- Why do I need to know it?

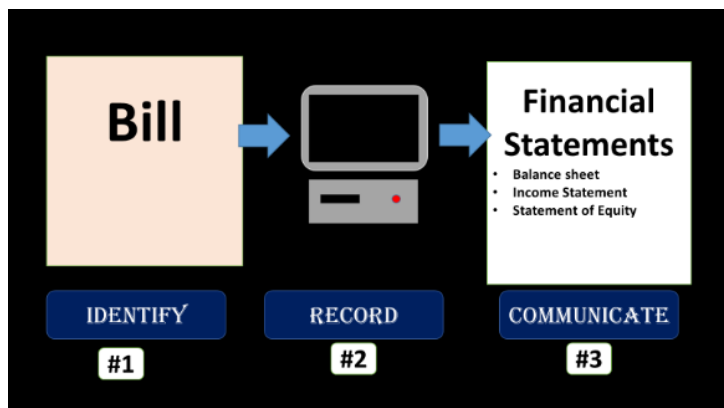
We will address the second question first: why do I need to know accounting?

Answer: Because it's fun. Because accounting is fun is likely not the first thing that popped into your mind, but we want to start off with this concept, the idea of thinking of accounting as a kind of game, a sort of puzzle, something we can figure out. Thinking of accounting as a game will make learning accounting much more enjoyable.

**Accounting** can be defined as an “information and measurement system that identifies, records, and communicates relevant information about a company’s business activities” (John J. Wild, 2015).

The process of accounting includes the accumulation of data into a relevant form, which can be used for practical decision

making.



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Data is often identified using forms and documents such as bills, invoices, and timesheets. Once identified information is input into an accounting system, often an electronic one. The end goal of financial accounting is the creation of financial statements including a balance sheet, income statement, and statement of equity. The financial statements are used to make relevant decisions.



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There are many reasons to learn accounting concepts, other than it being fun, although we always want to keep the fun factor in mind. Some of the most obvious reasons for learning accounting include:

- Accounting provides a format to understand business whether we are in the accounting department or not. Accounting is the language of business, a way of communicating business objectives and performance. All areas and departments benefit from understanding accounting because it provides a way to communicate between departments and communication is critical to business success.

- Accounting concepts apply to our personal finances. We all need to deal with our personal finances and learning basic accounting concepts and recording techniques helps ease our mind when dealing with our financial tasks.

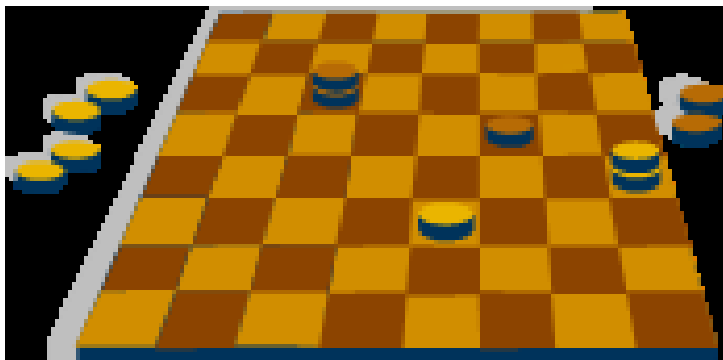
Other reasons for learning accounting, which are not so

obvious, include that accounting is a great tool to help develop critical thinking skills. Accounting requires reasoning to work through problems, and the practice of accounting will refine reasoning abilities and help us approach problems in a more systematic way, a more efficient way.

Accounting can also provide the same sense of satisfaction we receive when completing a puzzle, when mastering a new musical pattern, or when playing a game skillfully. Accounting can provide the same shot of dopamine when we figure out a problem, discern how something works and can claim that the double entry accounting system is in balance.

### **Accounting can be compared to a game of checkers**

For example, the game of checkers starts with setting up pieces on a board, a spreadsheet, following a set of rules. To set up the board, we need to have memorized the rules for doing so. Memorizing rules is not the fun aspect of checkers but is a necessary one to receiving the enjoyment of playing the game. Once the board is set up the game of checkers is played by moving pieces according to a set of rules to achieve a certain objective, the elimination of opponent's pieces.



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Accounting is similar in that we will start off by learning how to set up the board, the accounting board being a T account or ledger. As with checkers, we will need to memorize where the pieces fit on the board, which side of the T account pieces will line up on. Accounting pieces are the accounts and account types which have a normal balance lining up on the left or right side of the board, of the T account or ledger.

Once we know the normal balance of accounts, we will play the accounting game by applying debits and credits to the accounts following a set of rules which have a particular objective, the creation of relevant information, the creation of financial statements.

**The major obstacles for learning accounting are the same as those for learning music.**



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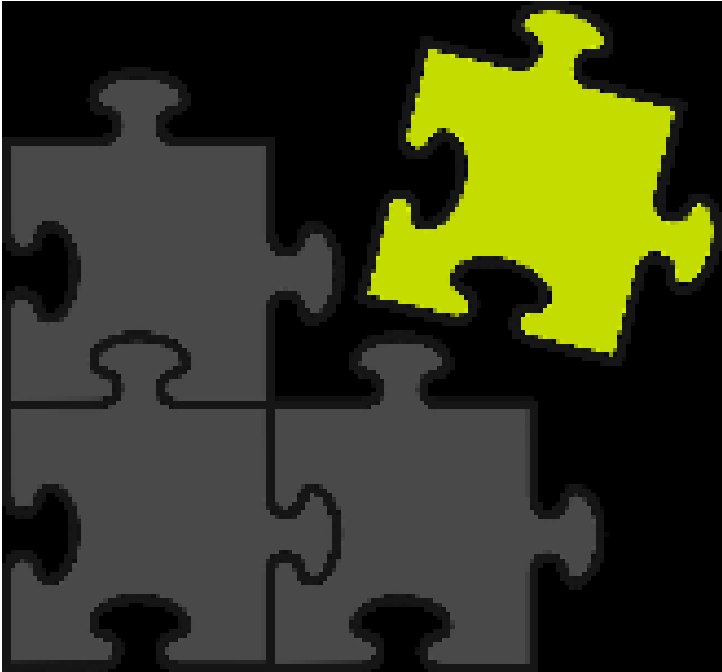
The primary obstacle to learning accounting concepts is the memorization of rules, a simple task, but one most do not find very enjoyable.

Memorizing rules is the same obstacle holding people back from learning many fulfilling activities, activities like learning music, or a new language. Rules of some kind must be learned to play music. The idea of rules, of structure, of constraints, seems counter-intuitive to the concept of creativity we associate with creating and playing music, but rules, structure, and limitations are often requirements for creativity. For example, writing and especially poetry, requires adherence to strict rules and many great writers have done their best work while constrained by deadlines and editors.

Whether it be notes, chords, or songs rote memorization is required before these learned concepts can be used to create something new, to create or play music, the structure critically contributing to the creation process. Creating, of course, is the fun part, the fulfilling part, the area to look forward to but memorization is a necessary part, a critical part, and a part well worth the effort.

**Confidence in the system is required to learn accounting**

Education is all about asking questions, testing theories, and being skeptical of claims given without a convincing argument, without supporting facts. Accounting is no different. Questioning is essential to setting up an efficient accounting system, but the tradition of questioning can also be used as a crutch, as an excuse for not moving forward and finding our mistakes.



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I recommend accounting students start out having faith that

the double entry accounting system works, in a similar way that we have faith that a 1,000 piece puzzle will contain all the pieces required and can be constructed to match the picture on box, because without this confidence we will lose the motivation to move forward, to complete the task, and therefore miss out on the enjoyment of completing the project.

Confidence in the double entry accounting system is necessary when first learning accounting concepts because doubting the system restricts us from moving forward to complete the necessary steps and look for the mistakes we have made. It is much easier to claim that the system does not work then look for the more likely problem, our own errors.



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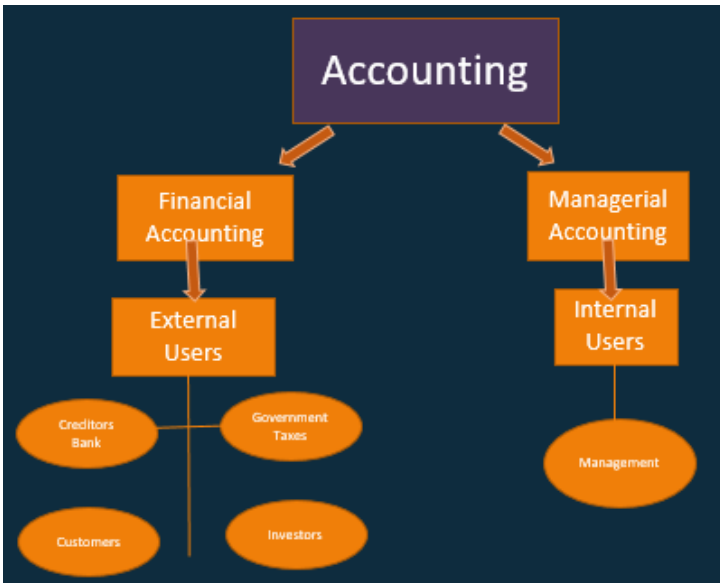
Having faith in a system does not mean we should not question a system. Questions are always encouraged, at all times, but it is best to give the concepts the benefit of the doubt and not allow our questioning of the system to be an excuse, a crutch, for not



completing a task or figuring out a problem.

The double entry accounting system has been around for a long time, at least since the Franciscan monk Luca Pacioli around 1494, and while this does not prove its correctness it does show that it has been a useful tool to many in the past, and will therefore likely be a useful tool to many in the future.

## Categories of Accounting – Financial Accounting & Managerial Accounting



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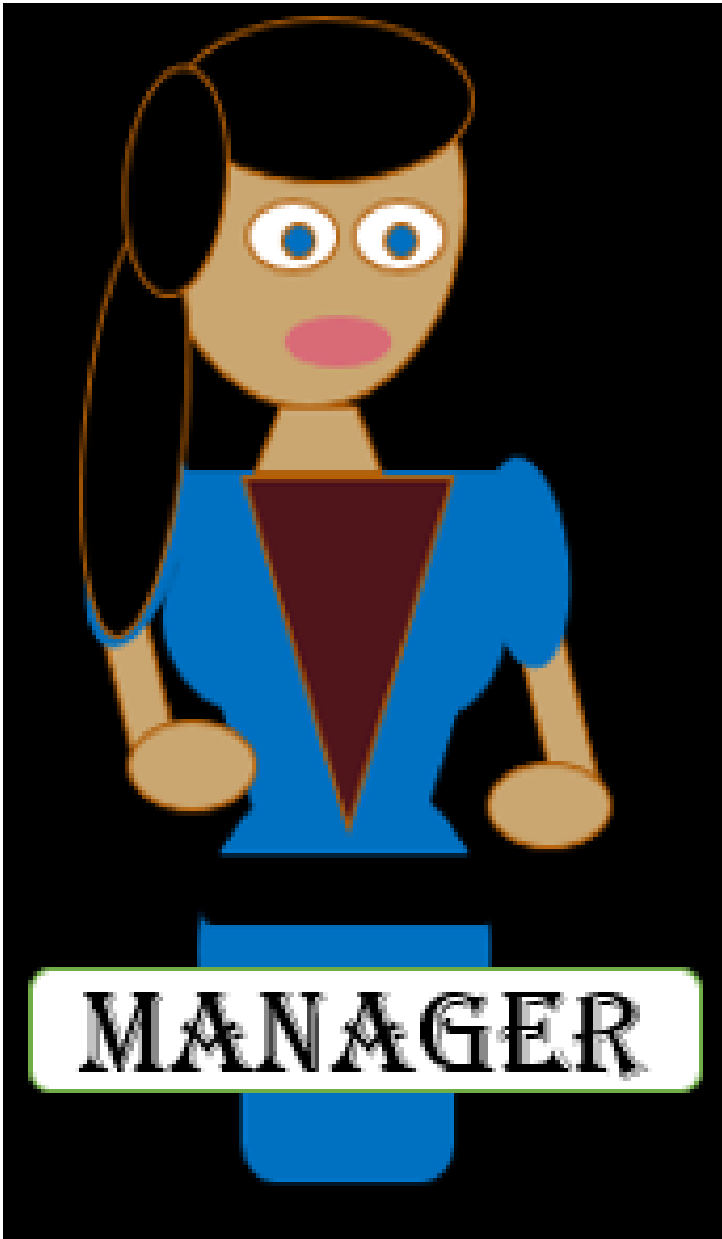
Accounting is divided into two major groups; Financial Accounting & Managerial Accounting.

**Financial accounting** has the end goal of generating financial statements, financial statements designed with external user needs in mind. The aim of financial accounting toward external users may seem strange at first because financial data is required and used for internal, managerial, decision making as well but external users have needs that require more reliance on financial statements in many ways.

**External users** are users outside the company and include investors, creditors, the internal revenues service, and customers. Companies need these external users for things such as investments, loans, and to follow laws and regulations.

External users do not have intimate knowledge of the business and therefore need assurance to increase the level of trust, trust being a necessary component for business transactions to take place. To increase confidence levels, financial statements are required to follow a strict format of rules designed to standardize the financial reporting. Standardization allows for the comparison of financial information across time and between different companies.

**Managerial accounting** has the goal of generating relevant information for internal decision makers to make sound decisions, for management.



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Managerial accounting does include the use of the same financial information generated in financial accounting, but information is not required to be in a particular format, managerial accounting being less regulated. Management has intimate knowledge of the company, and therefore there is less need for regulations on the format of data and information. Management will determine the best format for managerial statements to assist in making the best decisions.

Because managerial accounting is less regulated, it is commonly thought that managerial accounting will differ greatly from organization to organization. While it is true that managerial accounting practices will vary from company to company, there are also best practices which are applied, practices that have stood the test of time, those that have helped good companies be great. The study of managerial accounting is the study of best practices used to make good business decisions.

Financial accounting developed in much the same way, businesses looking for best practices to compile data for both themselves and external users. Over time financial accounting has solidified those best practices into a standardized form. Standardization often limits innovation but does provide a clear format for external users, this being one of the tradeoffs related to regulation. We will talk more about the need for standardization in a profession like accounting when we discuss what a profession is and the need for ethics and regulations within a profession.

# 3

## Ethics in Accounting

Ethics plays a huge role in accounting as it does in most professions, in part, because ethics deals with trust and trust is an essential component of any business transaction. The concept of ethics is very broad, has been studied intensely since ancient times, and is an area which still has many open questions, but ethics related to accounting can be narrowed from the broader discussion in some ways.



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One way to think of ethics as it relates to a profession is by implementing a kind of categorical imperative, acting in a way that we would wish to be universal for the entire profession. For example, stealing could benefit an individual but if everyone steals everyone is worse off and therefore stealing would be wrong.

Similarly acting in a way that is misleading could lead to gains for an individual but doing so harms the profession and is therefore wrong. Most professions can apply a concept like this.

two of the oldest professions are law and medicine. The reason professions are needed in areas like law, medicine, and accounting is because they deal with specialized knowledge, knowledge most people do not have and that many are dependent on at some point in their lives. An uneven distribution of knowledge can cause incentives for individuals to seek short term gains through deceit.





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For example, somebody claiming to know medicine could administer medicine that is not effective and the patient would not know, a patient having no choice but to trust the expertise of the doctor. If a physician abuses trust by administering remedies that are not effective, they are profiting off the name of the

profession, from the brand of the occupation, and if this practice is done enough, it will result in a lack of trust in medicine.

A similar scenario can be painted for many areas of accounting, accounting having advanced to a specialized field, one that most do not understand, but are forced to deal in at some point or another. The need for trust drives and incentivizes a profession to self-regulate, to build a brand. One way the accounting profession self-regulates is by requiring different certifications to practice in different areas, certifications like a certified public accountant CPA license. A certification process helps provide the public with a level of trust that an individual has some basic understanding of concepts they are dealing with and provides ethical standards that must be met.

An example of the need for trust in accounting is when investors use financial statements to make investment decisions. Publicly traded stocks have an increased need for transparency in their financial reporting because their stock is being sold and traded by the public, a huge benefit to both companies and investors, providing capital to companies, and opportunities for gain to investors.

For an individual to invest, however, they need to analyze their options, and financial statements are the primary tool for this analysis. If investors do not have confidence in the numbers reported on the financial statements, do not understand how the numbers are reported, or cannot compare the numbers to related companies, investment transactions will decline due to a lack of information and trust.



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The economy needs trust in the system as a major component which keeps interactions taking place, compelling people to take calculated risks, driving individuals to do business and drive growth and innovation.

Fraud is one component in the discussion of ethics, fraud

being the deliberate attempt to deceive for personal gain. Fraud can take many forms in business from theft to falsifying the financial statements to drive up stock prices and increase bonus pay.

Most people believe fraud is all about employing the right people, honest people, those with integrity. While the right people is a huge component, it is not the only one. Good people in a bad environment or culture can fall victim to the group mentality. Businesses can reduce the likelihood of fraud by recognizing conditions that foster fraud and taking active steps in reducing them.

A criminologist has introduced the idea of a **fraud triangle**, consisting of three factors which increase the likelihood of fraud. **Fraud factors** include **opportunity**, **pressure**, and **rationalization**.

**Opportunity** means that the ability to commit fraud and not be caught is present, or at least perceived. For example, if a company had a policy of keeping their petty cash fund in a shoebox in the middle of the lunch room the opportunity for theft without detection would be greater than if the money was put into a more secure location.

**Pressure** or incentive means that a person is under pressure of some kind, often financial. If money is tight the likelihood of an individual committing fraud is significantly increased.

**Rationalization** is when a person justifies an action. Our minds are excellent at rationalizing. We generally believe that we think before acting, but we often act and then justify the action through rationalization. Rationalization is one reason fraud tends to continue, and even escalate over time.

For example, if a company left the petty cash in the lunchroom an employee may rationalize theft by reasoning that it's the

company's fault for not better safeguarding their assets. While it may be true that leaving cash in the middle of the lunchroom is not a good internal control for a company, it is not a justification for theft. Another common rationalization is that a company is vast and rich while an employee may feel small and poor and taking to from the rich to give to the poor is not bad. Again, there may be some truth to this statement, but it is not a reason justifying theft.



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Companies can reduce the likelihood of fraud by recognizing these fraud factors and taking active steps to reduce them, steps including internal controls. For example, companies should safeguard assets and should create a culture of honesty, communication, and respect, a culture that needs to be demon-

strated from the top down. If the culture is bad at the top good employees will not be able to pull up the culture from the bottom.

## Accounting Objectives

**Objectivity** – To provide information useful to investors creditors, and others. The concept of objectivity seems obvious, but we always need to keep the end goal in mind, the creation of useful information for external users. Financial accounting is aimed at producing useful information for external users like investors, creditors, and customers, the format of this information usually being financial statements. By anticipating the needs of external users, we can set rules and guidelines to provide the most value.

**Qualitative Characteristics** – To require information that is relevant, reliable, and comparable. The characteristics of relevance, reliability, and comparability are related to the objective of providing useful information because external users will value these features.

- **Relevant** means the information is relevant or necessary to the needs of the users. Relevant information could be information that influences the decision-making process. For example, a bank deciding whether to make a loan to a business may request financial statements to assess the likelihood of a business's ability to pay the loan back in the future.



· **Reliable** means that the information must be trusted or must be believed that it is free of material errors and is presented in a fair way. For example, a bank deciding whether to make a loan to a business may request financial statements and want assurance that they can be trusted. Part of the assurance requirement may be that the financial statements are presented in a standardized form, following a standardized set of rules. A bank may also ask for a third-party review or audit to add to the level of reliability.

· **Comparability** means that financial information needs to be comparable to prior periods and other companies. Comparability requires standardization, a systematic way of compiling data from one time to the next. For example, a bank deciding whether to make a loan to a business may want to compare financial statement performance with prior years to see if there has been an improvement and to compare financial statements to other businesses in the industry. For comparisons of financial statements to be relevant, there needs to be conformity in presentation.



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## Accounting Assumptions

**Going-concern assumption** - the presumption that the business will continue operating instead of being closed. We assume a business is in business to stay in business, to have an objective of revenue generation and growth. If a business is planning on stopping business or is going bankrupt their behavior is likely to be much different than if they planned on continuing business. A business that is not a going concern, one that plans on stopping operations, needs to disclose this information to the readers of their financial statements so that readers can change their default assumption that the business will remain in business.

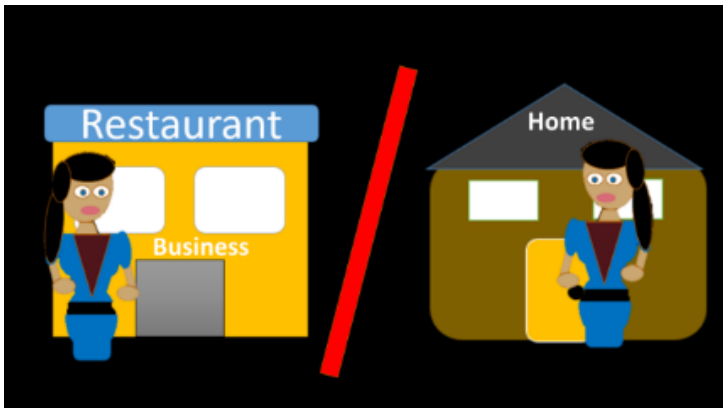
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**Separate business entity assumption** - means that the business accounting will be kept separate from personal accounting and that of other businesses. Separating business accounting and personal accounting is clear conceptually, the separation providing more relevant information for making business decisions, but can be difficult in practice. The driving concept for deciding whether an accounting transaction is business or personal is the objective behind the transaction, the reason for the transaction. Every transaction will have a reason and we

need to determine if the reason is business or personal in nature.

The business objective is revenue generation. A business's mission statement will define what a business does to generate revenue, but from an accounting standpoint, the objective of revenue generation will help guide business actions and help us categorize transactions as either business or personal.

Personal objectives may include a goal of being happy or living well. Personal objectives will vary from person to person, and for more detail on personal objectives we would need to consult the study of philosophy, a topic for another time, but the objective of living well will suit our needs. If the driving reason for a transaction is to be happy or to live well, rather than the more specific objective of revenue generation, the transaction is a personal one.



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An example of separating business and personal objectives

is the creation of a separate business checking account, a separate account allowing us to track the business revenue and expenditures more quickly, most deposits into the business checking account being revenue and most withdrawals being expenses.

The difference between a business expense and a personal expense is the objective for the expense. For example, if we went out to dinner the cost of the meal may be business or personal depending on the objective. If we took clients to dinner to pick up new business engagements, the meal would be a business expense and if we took our family out to dinner to have fun and live well it would be a personal expense.

In a similar way as expenses can be either business or personal, assets can also be either business or personal in nature. For example, if we purchase a building with the intention of making widgets for sale the building would be an asset rather than an expense because it will help generate revenue in the future and has not yet been consumed. On the other hand, if we purchase a building to live in as a home it would be a personal asset, the objective being to live well.

We can think of many areas where business and personal objectives overlap, areas where categorizing the transaction is difficult. For example, we may take both family and clients to dinner or we may work from our home. As accountants, our job is to differentiate the business and personal portion as much as possible to better measure our performance.



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Our business objectives can be thought of as fitting inside our larger personal objectives, the generation of revenue being part of our larger personal goals of living well.

As the business grows and achieves the business objective of revenue generation owners can begin taking money and resources out of the business to be used for their larger personal objectives of living well.

## Define and describe Generally Accepted Accounting Principles GAAP

“Generally Accepted Accounting Principles (GAAP) are uniform minimum standards of, and guidelines to, financial accounting and reporting. The Financial Accounting Standards Board (FASB), the Governmental Accounting Standards Board (GASB), and the Federal Accounting Standards Advisory Board (FASAB) are authorized to establish these principles.” (AICPA, n.d.)

Financial Accounting strives to generate financial information that is relevant, reliable, and comparable because these characteristics create value to users of financial reports, particularly to external users of financial reports.

Creating and implementing standard guidelines for the processing and reporting of financial statements makes the financial statements more relevant, reliable, and comparable. Standards help to standardize financial reporting, making financial statements comparable across time and to other companies.

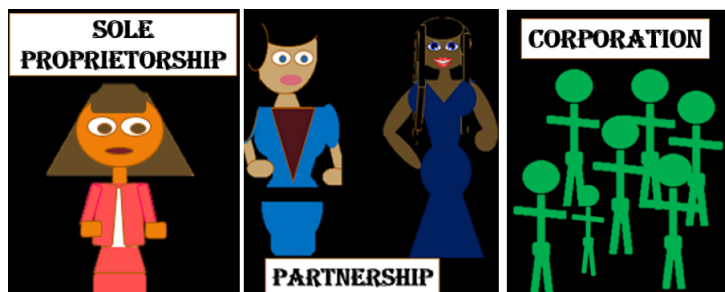
The Securities and Exchange Commission SEC has authority to set Generally Accepted Accounting Principles GAAP and the SEC has delegated much of the responsibilities of setting GAAP

to the Financial Accounting Standards Board FASB. The SEC is a governmental agency, and the FASB is a private sector group. The system of delegating authority to a private sector group makes sense because the accounting profession, like any profession, has an incentive to self-regulate and has a better understanding of the problems within the profession and how best to address them.

## Business Categorization

There are many useful ways to separate and categorize business entities, one being by business form, by type of business structure; another being by a business's relation to inventory, whether the business is selling inventory and whether they produce the inventory they are selling.

The three broad categories of business structure are a sole proprietorship, partnership, and corporation.



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A **sole proprietorship** is a business owned by one person and is the most common type of business in the United States. The benefits of a sole proprietorship are that they are easy and inexpensive to form. An individual who starts acting as a business, generating revenue, is a sole proprietor by default unless they create some other type of organizations. The income from a sole proprietor is taxable but will be reported on the individual tax return, on Form 1040 supported by a supplemental Schedule C.

The disadvantages of a sole proprietor include limited personal liability protection and limited capital generation capability when compared to other types of organizations.

A **partnership** is similar to a sole proprietor except that the business now has two or more partners. A partnership has the same benefit of easy formation and the same drawbacks of liability exposure and limited capital generation.

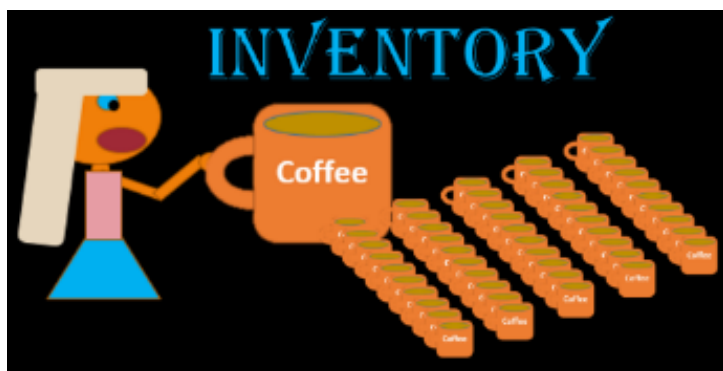
A **corporation** is a separate legal entity. Corporations are less common than the sole proprietorship but generate the largest percentage of total U.S. revenue. The benefits of a corporation include that they provide liability protection through being a separate legal entity, the theory being that the assets of the corporation are liable but personal assets are not, personal assets having more protection when compared to other types of organizations. The disadvantages of a corporation include that they are more costly to form, more complicated to maintain, and can result in double taxation.

Much more can be said about types of entities, but this will provide a starting point. From an accounting perspective, we will start out with transactions related to a sole proprietorship and then move to a partnership and then a corporation. The reason for starting with the sole proprietorship is that it is a

business form that most people can relate to and because many of the transactions found in a sole proprietorship will be the same for all entity types.

We will then move to a partnership, concentrating on the areas that are different from a sole proprietorship. Many of the transactions and processes will be the same, both entities needing to record the paying of the rent, employees, and utilities, both entities recording revenue. Transactions will differ, however, in the equity section because a partnership will have two or more owners, so the equity section is where we will spend much of our time.

We will then move to a corporation, concentrating on the areas that are different. Many transactions will remain the same, but the equity section is one area that will differ, the owners now being stockholders.



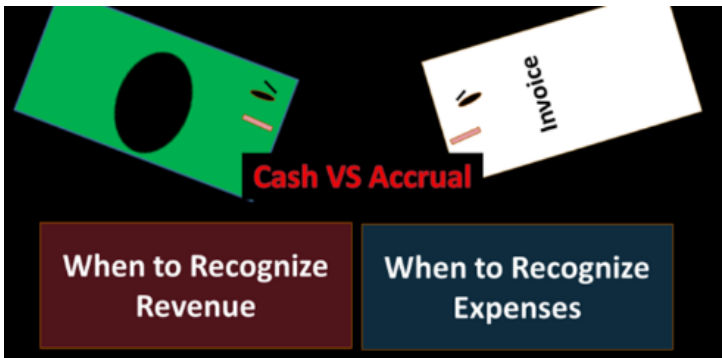
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Another useful way to categorize businesses is by industry or by whether they use inventory and whether they produce inventory. A service company does not sell inventory, a merchandising

business purchases and sells inventory, and a manufacturing business produces inventory to sell.

A company's relationship with inventory has a significant impact on many accounting transactions and reporting. We will start out with a service company, using similar logic as we did when starting out with a sole proprietorship. Service companies have many of the same transactions as companies that deal with inventory, but they do not need to track inventory. We will then move to merchandising companies, companies that buy and sell inventory, adding the items that are different, items related to inventory. We will then move to a manufacturing companies, companies that produces inventory, adding things that differ, the tracking of inventory from raw materials to work in process and then to finished goods.

## Accrual Basis and Cash Basis



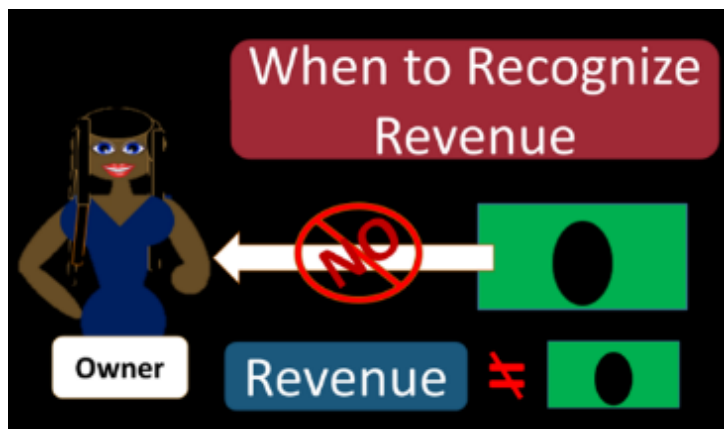
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Generally Accepted Accounting Principle GAAP will be based on accrual concepts. The accrual basis can be compared and contrasted to a cash basis, the cash basis being a simplified method, one which does not provide information as useful, as relevant, or as accurate as an accrual method.

**Cash basis** – Records revenue when cash is received and expenses when cash is paid. A cash basis is not the basis required by GAAP, GAAP rules following an accrual basis, but understanding a cash basis helps in understanding both how an accrual basis works and the reasons for it. Cash and revenue are not the same things, as we will see when we record transactions, but a cash basis uses cash as an indicator of when revenue will be recorded. The concept of a cash basis is like a firefighter following the smoke to get to a fire, the smoke not pinpointing the exact location but being close enough. Cash collection does not always equal the exact location in time of revenue earnings but is often close enough.

In a similar way as revenue being recorded when cash is received under a cash basis, expenses are recorded when cash is paid under a cash basis. Cash and expenses are also not the same things, as we will see when we record transactions, but a cash basis uses cash as an indicator of when expenses will be recorded. The concept of a cash basis is like a firefighter following the smoke to get to a fire, the smoke not pinpointing the exact location but being close enough. Cash payment does not always equal the exact location in time expenses were incurred but is often close enough.

Very few businesses use a pure cash basis because there are times when the smoke is not close to the fire, times when revenue is not close to cash collection, and times when expense incursion is not close to cash payment. For example, almost any business would recognize a cash payment of \$100,000 for a building as an asset of a building rather than an expense of building expense even though cash is paid. The reason a building is recorded as an asset is that the asset has not yet been consumed, has not yet been used to generate revenue.

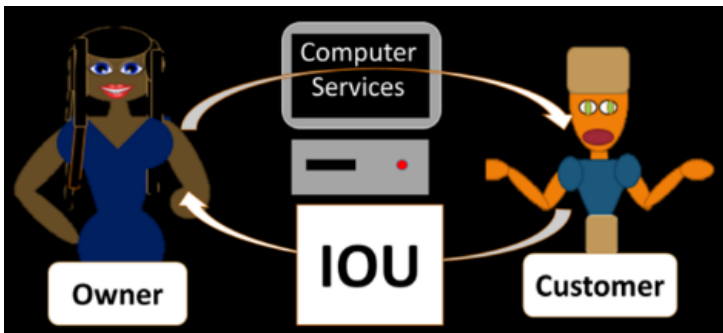


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**Accrual basis** – is driven by two main principles, the revenue recognition principle and the matching principle. Revenue recognition deals with the time to recognize revenue and the matching principle deals with the time to record expenses.

The revenue recognition principle records revenue when the revenue is earned, a time which is not always the same as when revenue is paid. Finding the exact time that revenue has been earned is not always easy but is usually when the job has been completed. For example, the time when revenue has been earned for a service company is when the job has been completed, when the service is done, and the time when revenue has been earned for a merchandising company is when inventory is delivered to the customer. An accrual method is closer to a firefighter using a GPS system to pinpoint the exact location of a fire rather than just estimating the location by following the smoke.

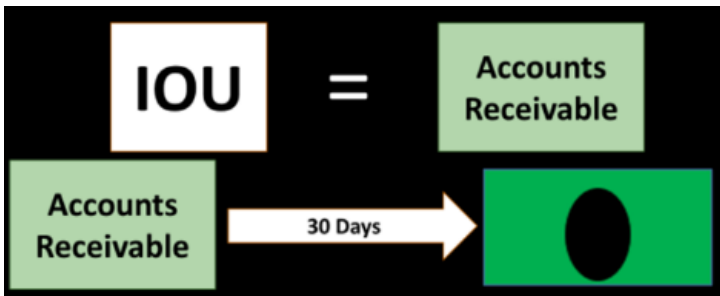
For example, a food truck may have a policy of only accepting cash for food. The policy of accepting cash as the only form of payment means the time cash is received and the time work is done will be the same. Therefore, both a cash method and an accrual method will result in the same journal entry but for different reasons, the cash method being driven by the cash received, the accrual method being driven by the earnings of the income, by the delivery of the food.



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A bookkeeping business, on the other hand, will often need to perform work, invoice the client on completion of the work, expecting a check in the mail sometime in the future. The revenue recognition principle would require revenue to be recognized at the time the work was done, often when the invoice was generated and not when cash was received. We will cover the format of these transactions a little later but for now, recognize that revenue is the act of earning revenue which is different from receiving cash, cash usually being the form of

payment for revenue earned. There are other forms of payment, including trade or barter, but cash is the most common form of payment. The revenue recognition principle is similar to how most of us think of our paychecks when working for a company. A business may pay employees every other week, but an employee has earned the revenue in the week the work was done. The company is expected to pay the employee for work done even if the employee leaves the company. For example, if an employee earned wages of \$1,000 last week according to their employment agreement and employment is terminated this week the employee will still expect payment of \$1,000 for the work performed last week, for revenue that was earned by the employee last week even though cash had not yet been received.



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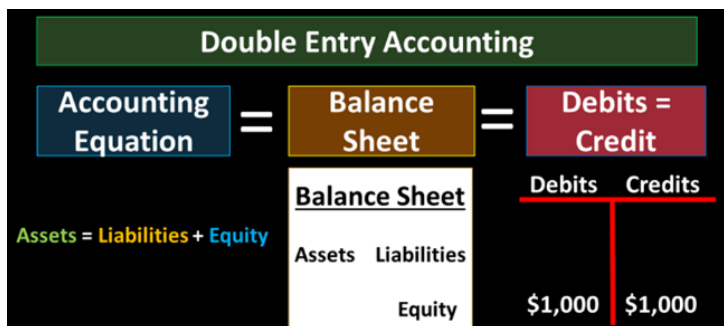
It is possible, but less common, to receive cash before work is performed, revenue still being recorded at the time work is done under an accrual basis rather than the time payment is received. For example, a newspaper company will collect money before doing the work, before delivering newspapers. A newspaper



company will often collect money for a year's subscription and then earn the revenue by delivering the newspapers in the future. Under an accrual method the newspaper company will have to wait on recording revenue until they earn the revenue by doing work, by delivering the papers, even though they already have the cash in hand. Even though the company has the cash related to future sales they have not earned the revenue for those future sales and if they do not deliver the newspapers in the future they will owe the money back.

## Accounting Equation and Account Types

As mentioned earlier there are many ways the double entry accounting system can be expressed including the use of an accounting equation, debits and credits, and a balance sheet. We will focus on the accounting equations in this section. The benefits of an accounting equation include the use of a simple formula, simple math that can be explained and understood. Transactions will be described using the symmetry of the accounting equation. The problem with using the accounting equation to record transactions and build the financial statements is that it is not as efficient as the use of debits and credits. We will learn the balancing concept using the accounting equation, but as we do, keep in mind that the accounting equation is not the whole story, that we will need to understand new concepts, the concepts of debits and credits, to record data with which to generate financial statements well.



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The accounting equation is:

$$\text{Asset} = \text{Liabilities} + \text{Equity}$$

The format above is the most common form of the accounting equation for financial accounting because the left side of the equation shows what the business owns and the right side shows who it is owed to, either a third-party liability or the owner. Recall our separate business entity assumption while considering the accounting equation. Thinking of the business as a separate entity helps to understand the accounting equation, the left side of the equal sign showing what the separate entity owns, the right showing who has claim to what the separate entity owns.

Because the accounting equation is a formula it can be expressed at least two other ways. A second way to write the equation is:

$$\text{Assets} - \text{Liabilities} = \text{Equity}$$

The format of the accounting equation above is useful because it emphasizes that equity is the book value of the company, the

amount left over after subtracting liabilities from assets, an amount which can also be called net assets. To understand the meaning of equity we can consider the liquidation of a company, the selling of assets for cash, the payment of liabilities owed, and the leftover cash which would then be available to the owner, this amount being equal to equity if assets were sold at book value. Note that all assets will not be sold for the exact amount reported when a business is sold. For example, an asset of equipment valued at \$50,000 may not be sold for \$50,000 in a free market, possibly being sold for something less like \$40,000 or something more like \$60,000. We will discuss this more at a later time. For now, remember that equity represents net assets on a book value basis, assets minus liabilities.

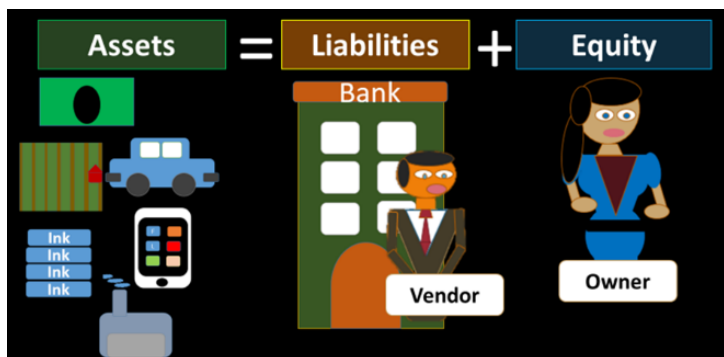
A third way to write the accounting equation is:

**Assets – Equity = Liabilities**

This format of the accounting equation is not as useful but is another way the accounting equation can be expressed algebraically.

Account types include assets, liabilities, equity, revenue, and expenses. Recognize that account types are not the same thing as actual accounts, each account type having multiple accounts falling into the category. Understanding account types and the accounts that fall into each account type category is essential to the accounting process.

**Account types include:**



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**Assets** are resources owned by the business. The most common asset is cash, but assets also include accounts receivable, pre-payments, land, building, and equipment. Assets are items that have not yet been consumed, resources planned to be used in the future to achieve business goals, to help generate revenue.

**Liabilities** are claims by creditors. Liabilities come about from a transaction that happens in the past which obligates the company for some form of future payment. Purchasing something on a credit card is an example of how a liability can be created, the transaction creating a future obligation to pay cash. Liability accounts include accounts payable, notes payable, and bonds payable.

**Equity** is the owner's claim to assets. Equity is equal to assets minus liabilities. Equity is often the most confusing section of the accounting equation, in part, because different organization types will organize the equity section differently and because the equity section is involved in the closing process of temporary

accounts.

The equity section represents what is owed to the owner on a book basis. This is best illustrated by imagining we liquidate or close a business, selling the assets for cash, and then paying off the liabilities. The money left over would be equal to the equity section if all sales were made on a book value basis.

The equity section for a sole proprietor will be called owner's equity and consist of one capital account. The equity section of a partnership will be called partnership equity and consist of two or more owners and therefore two or more capital accounts. The equity section of a corporation will be called shareholder's equity, shareholders being the owners of a corporation, and will included capital stock and retained earnings. Although the format changes the equity section taken as a whole can still be thought of as what is owed to the owner or owners in each case.

When thinking about the accounting equation, the equity section includes all temporary accounts, including revenue accounts and expense accounts.

**Revenue** - is income generated from performing work. Revenue is not the same thing as cash. Cash is a form of payment while revenue represents the creation of value and the earning of compensation. Revenue is a timing account, needing to be measured over a time frame, a starting and ending point. For example, when somebody says they earn \$100,000 the concept has no meaning unless we assign a time frame, most people naturally attributing a year as the time frame when hearing a number like \$100,000. A different time frame would have a much different meaning. For example, revenue of \$100,000 a month is much different than revenue of \$100,000 a year.

We can contrast temporary accounts, like revenue and expense accounts, with permanent accounts like cash. Saying we have

\$100,000 cash does not require a time frame to define what we mean because cash is a permanent account, representing a position at a point in time.

**Expense** is the using of assets or incurrence of liabilities as part of operations to generate revenue. Expenses are what a business needs to consume to achieve the goal of revenue generation. Expenses are also temporary accounts needing a beginning and ending time.

There are usually many more expense accounts than revenue accounts, but we hope the revenue accounts add up to a greater dollar amount. The reason there are more expense accounts than revenue accounts is because of specialization, companies focusing on earning money by doing what they do best and paying for their other needs.

| Assets                                                                                                      | Liabilities                                                                                  | Equity                                                                                                            |
|-------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------|
| <ul style="list-style-type: none"> <li>• Cash</li> <li>• Account Receivable</li> <li>• Equipment</li> </ul> | <ul style="list-style-type: none"> <li>• Account Payable</li> <li>• Notes Payable</li> </ul> | <ul style="list-style-type: none"> <li>• Capital</li> <li>• Draws</li> <li>• Income</li> <li>• Expense</li> </ul> |

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## Transaction Rules & Thought Process Using the Accounting Equation

Before we demonstrate common transactions and how they are analyzed using the accounting equation we will cover transaction rules. Applying a process for recording transactions will reduce the likelihood of making bad assumptions and learning rules that do not apply in all cases.

It is possible to learn rules that apply in only some cases, requiring the unlearning of these rules when we move to cases where they do not apply. Learning rules that do not apply in all cases should be avoided because unlearning rules in cases where a bad rule does not apply is tough.

Learning and applying the steps below for recording transactions helps avoid problems, eliminating the need to unlearn false concepts in the future. These same rules will apply when we move to learning debits and credits at which time we will build on these rules, applying more concepts to the balancing ideas developed here.





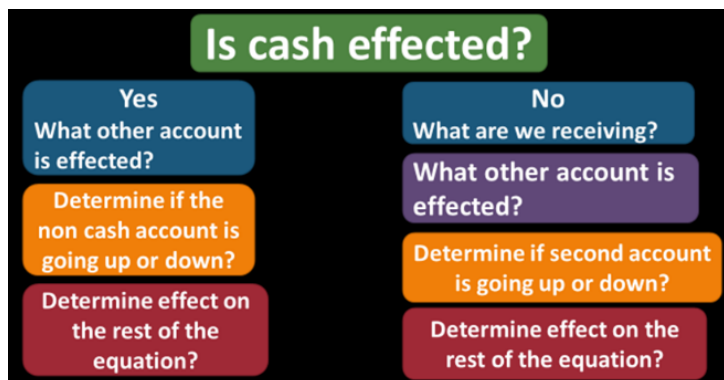
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### **Transaction Rules:**

- Every transaction will affect at least two accounts.
- Every transaction will keep the accounting equation in balance.

#### **Transaction thought process**

When first learning transactions we will repeat this thought process for each transaction, the thought process being designed to make the recording of transactions as easy as possible, and avoid learning rules that are not always applicable. This process will make more sense as we work through transactions. Working transactions is the only way to understand the double entry accounting system fully.



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# 11

## Transactions & The Accounting Equation

We will now go through common financial transactions, transactions needed by most any business, and analyze them using the accounting equation and our set of rules and thought processes.

We will start off looking at transactions involving cash, cash being the most common account affected. Understanding how cash is affected will act like an add, or crutch, when considering the other account or accounts effected in the transaction.

First, imagine a situation where the cash goes up because the company received cash, and consider possibilities for the other account affected.


$$\text{Assets} = \text{Liabilities} + \text{Equity}$$

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We know that at least one other account will be effected and that the accounting equation must remain in balance. If there is only one other account effected we are left with just three possibilities to keep the accounting equation in balance. Either the liabilities went up, equity went up, or another asset account also went down. Below are examples of each.

If cash went up because of a business receiving a bank loan, then liabilities would also go up, keeping the accounting equation in balance.



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If cash went goes up do to collecting cash for work the company did then revenue or income would also go up, revenue being part of equity.



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If cash went up because we are receiving money for work done in the past we would also reduce the accounts receivable account, an asset account representing money owed to the company for past work completed.



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It is possible to use an expanded accounting equation, listing all accounts under each account type, forming a kind of trial balance which can be used to create the financial statements. We will not be using this format here because it is not an efficient way to generate financial statements and gives the impression that debits and credits are not needed, which is not a good impression to give.

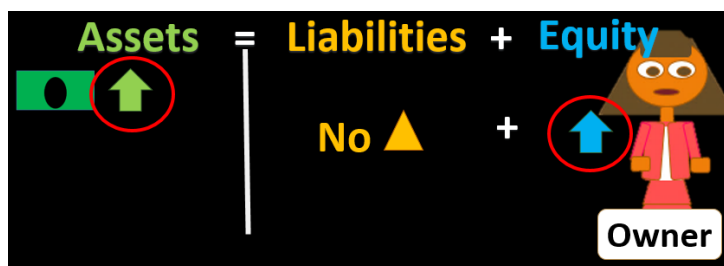
To understand double entry accounting and how financial

statements are created, the accounting equation is not sufficient, and debits and credit will be needed. We will introduce how debits and credits work later, but the concepts will build on the concepts we learn here working with the accounting equation.

Below are more common transaction and the effect on the accounting equation:

**Owner invests cash into the business:**

The asset account of cash goes up as well as equity, the amount owed to the owner. Equity goes up because the business basically owes the cash back to the owner. When investing cash into a business, an owner is hoping to receive a return on investment and be able to withdraw cash from the business in the future, to be used for personal use.



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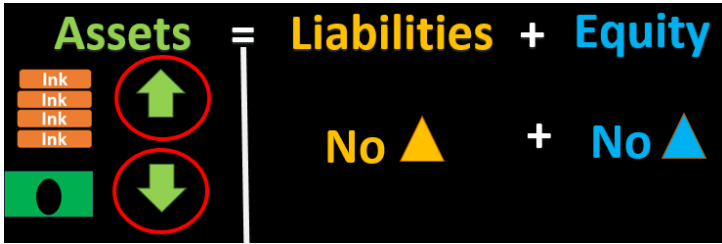
**Purchase of supplies for cash:**

The asset of cash goes down, but another asset of supplies goes up, the net result being no change in any account type of the accounting equation. The result of a transaction with no change to the accounting equation is one reason debits and credits are a more efficient way to record transactions than the use of the accounting equation. We will record much the same transaction using debits and credits later.

The increase in supplies is an increase in an asset type account rather than an expense type account, expenses being part of equity, because of the accrual accounting principle of matching. When the supplies are purchased, they have not yet been used to help generate revenue but will help to generate revenue in the future. Supplies will be expensed in the time they are used or consumed to help generate revenue.

Supplies will be our introduction to an inventory system because supplies will be tracked in a similar way as inventory. The recording of supplies will start with reporting supplies as an asset, followed by the counting of supplies at end of a time period, like a month, to determine how much has been used, and then the recording of the decrease is the supplies asset account and recording of the supplies utilized in the supplies expense account.

Supplies may be expenses when purchased if the amount is not material, not significant to decision making, because expensing the supplies is an easier process than capitalizing as an asset when the amount is not significant to decision making. For example, if we purchased two years' worth of paper-clips for \$100 we may just expense the purchase because the cost of \$100 is not significant to decision making, \$100 not being an amount that will impact financial statement user choices.



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### **Purchase Supplies on Account – No Cash:**

Because no cash is effected, we will first consider what is received, that being supplies in this case. The asset account of supplies will go up, and the liability account of accounts payable will go up. The accounts payable account is like a credit card account, going up when we purchase on account and going down when we pay off the balance owed.



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### **Pay Cash for Telephone Service:**

The asset account of cash will go down and the expense account of telephone expense will go up, bringing equity down. Expense accounts can be confusing when considering the effect on the accounting equation because expense accounts are tem-



porary accounts and are part of the equity section of the accounting equation. Expenses represent the consumption of assets or the incursion of liabilities to help generate revenue. Assets consumed or liabilities incurred to help generate revenue will bring down equity, equity calculated as assets minus liabilities.



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### **Completed Work on Account – No cash received:**

If no cash is effected, we will consider what was received, that being an “I owe you” from a customer in this case. An asset of an “I owe you” from a customer seems strange at first, a promised payment not being tangible, but a promise to pay does have value even though there is a chance it will not ever be received. Accounts receivable is the account representing an “I owe you” from customers, an asset account showing value due for work done.

The asset of accounts receivable will go up, and revenue or income will go up, increasing the equity section of the accounting equation. Revenue is a temporary account representing income that has been earned, and temporary accounts are part of the equity section.



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### Payment for Amount Owed for Past Transaction:

Cash will go down, and liabilities will go down. Paying cash for a transaction that happened in the past, for value received in the past, means we are paying off a liability, like paying off a credit card. Accounts payable is the most common liability account for most companies, representing what is owed to third-party vendors. When we pay off a balance that is due the liability account of accounts payable will go down.



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## Financial Statements

Financial statements are the end goal of financial accounting, the final product most useful to external users like investors, creditors, and customers. Financial statements include the balance sheet, the income statement, the statement of equity, and the statement of cash flows. We will concentrate on the first three statements here and move to the statement of cash flows later.

The **balance sheet** shows the business's financial position as of a point in time and includes permanent accounts of assets, liabilities, and equity. The balance sheet only shows one date, typically the end of a month or year, because the balance sheet shows where the company stands financially as of that date, that point in time.

The sections of the balance sheet are equivalent to the accounting equation components including assets, liabilities, and equity. To say the balance sheet "is in balance" is like saying the accounting equation "is in balance", both being ways to express that double entry accounting system is working.

Below is a simplified balance sheet.

| Balance Sheet<br>December 31, 20x1 |         |         |                                      |        |         |
|------------------------------------|---------|---------|--------------------------------------|--------|---------|
| Assets                             |         |         | Liabilities                          |        |         |
| Current assets:                    |         |         | Current liabilities:                 |        |         |
| Cash                               | 568,000 |         | Accounts Payable                     | 12,150 |         |
| Accounts Receivable                | 36,900  |         | Wages Payable                        | 2,500  |         |
| Prepaid Insurance                  | 11,000  |         | Unearned revenue                     | 8,250  |         |
| Supplies                           | 1,050   |         | Total Liabilities                    |        | 22,900  |
| Total current assets               |         | 616,950 |                                      |        |         |
| Property plant and equipment:      |         |         | Owner's Equity                       |        |         |
| Land                               | 112,500 |         | Owner Capital                        |        | 742,800 |
| Equipment                          | 135,300 |         |                                      |        |         |
| Less accum Depre                   | 99,050  |         |                                      |        |         |
|                                    |         | 148,750 |                                      |        |         |
|                                    |         |         |                                      |        |         |
| Total assets                       |         | 765,700 | Total liabilities and owner's equity |        | 765,700 |

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An **income statement** describes a company's performance over time, how well the company has done at achieving the goal of revenue generation.

The income statement is a timing statement requiring a beginning date and an ending date to make sense, in a similar way as tracking miles driven over a time needs a beginning and ending time frame. If we want to know how many miles we can drive in an hour, we set the clock, set the odometer, and drive for a particular time. If we want to know how well a company is doing at generating revenue, we set the clock for a month or year, set the temporary accounts, including revenue and expense accounts, to start a zero and proceed to earn revenue and incur expenses over the established time frame.

Net income, the bottom line number of the income statement, is calculated as revenue minus expenses and represents the earnings of the company less expenses required to generate the revenue. Net income does not represent net cash flow, cash

being a form of payment. Net income represents the net amount of earnings, earnings measured in dollars, but the time period in which revenue is earned does not necessarily equal the period in which payment is received.

| <b>Income Statement</b><br><b>For the Month Ended December 31, 20x1</b> |              |                      |
|-------------------------------------------------------------------------|--------------|----------------------|
| Revenue, income or sales                                                |              | 332,250              |
| Expenses:                                                               |              |                      |
| Wages Expense                                                           | 195,870      |                      |
| Utilities Expense                                                       | 42,375       |                      |
| Insurance Expense                                                       | 1,000        |                      |
| Supplies Expense                                                        | 2,925        |                      |
| Depreciation Expense                                                    | <u>1,100</u> |                      |
| Total expenses                                                          |              | <u>243,270</u>       |
|                                                                         |              |                      |
| Net income                                                              |              | <u><u>88,980</u></u> |

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The **statement of equity** reports the changes to equity, the changes in the book value of the business, changes in the amount owed to the owners. We will first consider a statement of owner's equity, reporting equity for a sole proprietorship.

Like the income statement, the statement of owner's equity will be a timing statement, having a beginning and ending date, reporting activating over a particular time. The statement will

start with beginning capital, the capital balance as of the end of the prior period, the previous year or month. It will then increase the balance by owner investments and net income and decrease the amount by draws resulting in the ending capital balance, the book value as of the end date of the financial statements.

The balance sheet represents the double entry accounting equation by including all parts of the accounting equation, but the balance sheet only gives a snapshot of where a company is. The income statement and the statement of equity tell part of the story about how a company got to the position shown on the balance sheet.

Both the income statement and the balance sheet can be thought of as breaking out part of the story, part of the history behind the equity section of the balance sheet, behind the capital account in our example of a sole proprietorship.

The income statement shows the temporary account activity of revenue and expenses, these accounts representing a significant part of the story about how a company got to where it is, how it got to the point in time represented by the balance sheet. The statement of equity includes these income statement accounts represented with one number, net income or net loss, and shows where the company stood before the current period being reported, the beginning capital balance. The statement of equity also shows the withdraws, the amount an owner draws out of the business for personal use.

Below is a list of key figures to check on, figures which should always be related, and if they are not the financial statements have an error:

- Balance sheet total assets should equal total liabilities and equity.
- The income statement net income or loss should be included

on the statement of equity.

- The statement of equity ending balance should be included on the balance sheet.

| <b>Statement of Owner's Equity</b><br><b>For the Month Ended December 31, 20x1</b> |               |                       |
|------------------------------------------------------------------------------------|---------------|-----------------------|
| Owner capital Dec. 1, 20x1                                                         |               | 663,820               |
| Net income                                                                         | 88,980        |                       |
| Less draws                                                                         | <u>10,000</u> |                       |
| Increase in owner's equity                                                         |               | <u>78,980</u>         |
| Owner capital Dec. 31, 20x1                                                        |               | <u><u>742,800</u></u> |

## Glossary (John J. Wild, 2015)

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**Accounting:** Information and measurement system that identifies, records, and communicates relevant information about a company's business activities.

**Accounting equation:** Equality involving a company's assets, liabilities, and equity;  $\text{Asset} = \text{Liabilities} + \text{Equity}$ ; also called balance sheet equation.

**Assets:** Resources a business owns or controls that are expected to provide current and future benefits to the business.

**Balance sheet:** Financial statement that lists types and dollar amounts of assets, liabilities, and equity at a specific date.

**Business entity assumption:** Principle that requires a business to be accounted for separately from its owner(s) and from any other entity.

**Corporation:** Business that is a separate legal entity under state or federal laws with owners called shareholders or stockholders.



**Equity:** Owner's claim on the assets of a business; equals the residual interest in an entity's assets after deducting liabilities; also called net assets

**Ethics:** Codes of conduct by which actions are judged as right or wrong, fair or unfair, honest or dishonest.

**Expenses:** Outflows or using up of assets as part of operations of a business to generate sales.

**External users:** Persons using accounting information who are not directly involved in running the organization.

**Financial accounting:** Area of accounting aimed mainly at serving external users.

**Financial Accounting Standards Board (FASB):** Independent group of full-time members responsible for setting accounting rules.

**Generally accepted accounting principles (GAAP):** Rules that specify acceptable auditing practices.

**Going-concern assumption:** Principle that prescribes financial statements to reflect the assumption that the business will continue operating

**Income statement:** Financial statement that subtracts expenses from revenues to yield a net income or loss over a specified period of time: also includes any gains or losses.

**Internal users:** Persons using accounting information who are directly involved in managing the organization.

**Liabilities:** Creditors' claims on an organization's assets; involves a probable future payment of assets, products, or services that a company is obligated to make due to past transactions or events.

**Managerial accounting:** Area of accounting aimed mainly at serving the decision-making needs of internal users; also called management accounting.

**Matching principle:** Prescribes expenses to be reported in the same period as the revenues that were earned as a result of the expenses.

**Net income:** Amount earned after subtracting all expenses necessary for and matching with sales for a period; also called income, profit, or earnings.

**Net loss:** Excess of expense over revenues for a period.

**Owner, Capital:** Account showing the owner's (sole proprietor or partner) claim on company assets; equals owner investments plus net income (or less net losses) minus owner withdrawals since the company's inception; also referred to as equity.

**Owner, Withdrawals:** Account used to record asset distributions to the owner (sole proprietor or partner).

**Owner investments:** Assets put into the business by the

owner.

**Partnership:** Unincorporated association of two or more persons to pursue a business for profit as co-owners.

**Proprietorship:** Business owned by one person that is not organized as a corporation

**Revenue recognition Principle:** The principle prescribing that revenue is recognized when earned.

**Revenues:** Gross increase in equity from a company's business activities that earn income; also called sales.

**Sole proprietorship:** Business owned by one person that is not organized as a corporation; also called proprietorship.

**Statement of cash flows:** A financial statement that lists cash inflows (receipts) and cash outflows (payments) during a period: arranged by operating, investing, and financing.

**Statement of owner's equity:** Report of changes in equity over a period; adjusted for increases (owner investment and net income) and for decreases (withdrawals and net loss.)

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